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THE BRAVE NEW WORLD OF 401(K)S

Don’t Let the Market Meltdown Be Your Excuse for Missing the Best Savings Deal Around

IT’S EASY THESE days to write off the idea of contributing to retirement savings accounts like 401(k)s. You’ve heard scary stories of people losing half their life savings in the chaos of the market. Plus, you don’t feel like you have any money to squirrel away for the year 2040. You’re off the hook, right? Wrong. 401(k)s are the best savings opportunity you can possibly have—in this or any economy. And not taking advantage of them while you’re still young is a huge (and costly) mistake.

Retirement accounts aren’t just about retirement. They’re really more like supersmart savings accounts. They offer terrific tax advantages that allow your money to grow exponentially fast. In many cases, they bring you *free money* from your employer; many companies will put 50 cents in your account for every dollar *you* put in. A matching contribution like this amounts to an immediate guaranteed 50% return on your money—that’s a payoff you can’t get anywhere else in good economic times *or* bad.

Here’s why it’s so important to start now: The government limits the amount you can put in a 401(k) each year, so if you fail to contribute now, you won’t be able to make it up (and enjoy the matching funds) when you’re older and perhaps wiser. Now, for an example to get you motivated: Suppose you set aside $1,000 a year (about $19 a week) from age 25 to age 64 in a retirement account earning 5% a year (historically, stocks have